

Be involved

It is important that any investor is involved with financial planning from the beginning of their involvement with capital. Don't just assume the person you hired is looking out for you. You must completely understand what goes into your portfolio, what you will owe in taxes, and what fees you will be paying.

Be aware of the other numbers involved: How long you plan to work for and what your life expectancy is. How much will it cost to live whatever lifestyle you choose?

Keep your investments simple

What most people think is the hardest aspect of finance is in reality the simplest: A simple asset allocation model of broad indices (US equities, international stocks, corporate bonds, and Treasuries). Your age and risk tolerance will determine the ratio of stocks to bonds.

Once you become wealthy, you can *afford to take less risk*: Don't waste your time stock-picking or timing, just let the markets work for you. Avoid the complex investments, expensive funds, and alts. Build a portfolio of high-quality, tax-free municipal bonds (especially if you live in a high-tax US state). These will pay you an income as long as you hold them.

Have a plan

A financial plan gives you three things: An understanding of how much money you have today; what you likely will have in the future; and a goal for that capital.

Avoid debt and leverage

Living within your means is a crucial financial skill for anyone. It is especially valuable for someone who just fell into big bucks.